

Tutorial 4 – The Challenges & Issues of IS: The Case of Amazon

Objective

To deepen students' understanding of the organizational and societal challenges posed by Information Systems (IS), through the real-world case of Amazon's intelligent logistics management system. The case encourages critical evaluation of how strategic IS transformation can impact employee experience, organizational coordination, privacy, accountability, and system transparency.

Duration

1 – 1.5 hours

Activity Instructions

1. Read Article (15 – 20 minutes)

- Students should read two articles:
[Case Study: Amazon's AI-Driven Supply Chain: A Blueprint for the Future of Global Logistics](#)
[Amazon's latest faux par questions the ethics of employee surveillance](#)
- These readings offer complementary perspectives: the first highlights the operational benefits and innovations brought by Amazon's intelligent logistics system; the second raises concerns about the social and ethical consequences of surveillance technologies in the workplace.
- During class, students will discuss how these technologies, while strategically valuable, pose significant organizational, legal, and ethical challenges.

2. Group Discussion (30 minutes)

In your discussion group, discuss the following questions:

- a. What organizational challenges did Amazon face in implementing its intelligent logistics system? Are these systems sustainable in the long term? Please answer in short 2-3 concise points.
- b. Apply the **Five-Step Ethical Analysis (from Lecture 5 slide pp.22-31)** to evaluate Amazon's automated termination system.
- c. Does Amazon's automated termination system violate the moral dimensions of IS? Does Amazon's automated termination system violate any legal or regulatory frameworks? Please support your answer with a short explanation.

Hint: Refer to relevant principles such as consent, purpose limitation, data minimization, and transparency under laws like the PDPA or GDPR (from Lecture 5 slide pp.24).
- d. How can Amazon redesign its system to balance efficiency with fairness, transparency, and accountability?

3. Individual Submission (Post-Class)

- a. Each student must individually submit answers to the questions in a **PDF file of no more than two pages**, named: T4_<full-name>.pdf(e.g., T4_xiaoming.pdf).
- b. Students must submit their work **before the next tutorial** to receive the **full score**.
- c. **Late submissions will receive only half the score. Submissions later than 2 weeks will not receive any score.**

Quick Reading Aid:

Background

Amazon has invested heavily in building an advanced logistics system powered by artificial intelligence, robotics, and big data analytics. The system is designed to optimize warehouse operations, streamline inventory management, and enhance last-mile delivery efficiency.

At the same time, Amazon has introduced a range of technologies to monitor and manage employee activities within its fulfillment centers. These include wearable tracking devices, productivity monitoring software, and algorithm-based task assignments.

The combination of AI-driven logistics and employee monitoring technologies represents a major shift in how operational efficiency and workforce management are approached within the organization.

Overview

The case study explores two interconnected aspects of Amazon's logistics transformation:

1. **AI-Driven Operational Excellence:**
 - a. Amazon's intelligent supply chain uses predictive analytics to forecast demand, optimizes inventory distribution, and dynamically adjusts delivery routes.
 - b. Robotic automation and AI-powered management systems have significantly reduced delivery times and increased customer satisfaction.
2. **Ethical Dilemmas of Workplace Surveillance:**
 - a. Employees are continuously tracked and evaluated based on system-defined performance metrics.
 - b. Automated systems can issue warnings or even trigger termination without human intervention.
 - c. Critics argue that such practices erode worker rights, compromise employee well-being, and create a culture of constant surveillance.

Together, these developments illustrate how Information Systems (IS), while strategically advantageous, can also introduce profound organizational, ethical, and legal challenges.